

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY (CHARUSAT)
FACULTY OF MANAGEMENT STUDIES (FMS)
BBA PROGRAMME
SEMESTER – V – UNIVERSITY EXAMINATION, MARCH 2018
BM322 FINANCIAL ACCOUNTING

Date: 29/03/2018, Thursday

Time: 10.00 AM to 10.30 AM

Total Marks: 15

Student's ID No.									
Student's Name: _____									
Student's Sign : _____									
Supervisor's Name : _____									
Supervisor's Sign: _____									

Important Instructions:

- All questions are compulsory.
- This is a closed book examination.
- There are two sections in the question paper. Section – I contains Q. No.: 1 which is of 15 marks and Section – II contains total five questions wherein Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.
- Section – I should be answered in the given question paper and Section – II should be answered in a separate answer book.
- Maximum time allotted for Section – I is 30 minutes. Answer Book for Section – II will be given when the Question Paper for Section – I is returned. However, candidates who complete Section – I earlier than 30 minutes, can collect Answer Book for Section – II immediately after handing over Section – I question paper.
- Figures on the right indicate marks for each question.

SECTION – I

Q.1 Objective Type Questions:

A) Match the following: (i – vi)

15

06

Q. No.:		Probable Answer Keys		Write Your Answer Here
i.	Joint venture account	a)	Personal Account	i. –
ii.	Branch Account	b)	Similar to mixture of Trading and Profit and Loss Account	ii. -
iii.	AS-3	c)	Cash flow statement	iii. –
iv.	AS-14	d)	Accounting for amalgamations	iv. –
v.	Abnormal loss	e)	Which is unavoidable	v. –
vi.	Normal loss	f)	Due to carelessness	vi. –
		g)	Due to del Credere commission	
		h)	Similar to mixture of profit and loss account and profit and loss adjustment account	
		i)	Fund flow statement	
		j)	Accounting for fixed assets	

B) Multiple-Choice Questions (vii – ix) (Note: Encircle the correct answer) 03

- vii.** When one Co-ventures maintain the accounts of joint venture, the expenses paid for joint venture is -
- Credited to Joint Bank Account
 - Credited to Joint Venture Account
 - Credited to Expense Account
 - None of the above
- viii.** When prices show a rising trend, which one of the following methods of inventory valuation will result in lower income and lower valuation of inventory?
- FIFO
 - LIFO
 - Simple average method
 - Weighted average method
- ix.** When Accounting Standard Board of India is constituted?
- 1969
 - 1977
 - 1918
 - 2006

C) Fill-in the Blanks (x – xii) You may choose from the following answers: 03

Credited	Amount payable to Co-venture	Debited	Profit or Loss	Preparation of consolidated financial statement	Calculation of Earning per Shares
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- x.** At the end of the accounting year, for goods sent by head office and not received by branch, the branch account is_____.
- xi.** Balance of memorandum joint venture account indicates _____.
- xii.** AS-21 deals with the _____with an intention to provide information about the activities of a group.

D) True or False (xiii – xv) (Note: Encircle the correct answer) 03

- xiii.** Inventory management technique can make or break the business. (True) or (False)
- xiv.** In certain situation the balance of head office account in the books of branch and branch account in the books of head office may not agree. (True) or (False)
- xv.** The concept of depreciation does not occupy a significant place in the determination of income and in the measurement of service potential of assets. (True) or (False)

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BM322 FINANCIAL ACCOUNTING

Date: 29/03/2018, Thursday

Time: 10.30 AM to 01.00 PM

Total Marks: 55

Note: - (i) All questions are compulsory.

(ii) This is a closed book examination.

(iii) There are two sections in the question paper. **Section – I** contains Q. No.: 1 of 15 marks and **Section – II** contains total five questions where in Q. No.: 2 to 5 are of 10 marks each and Q. 6 is a Case study of 15 marks.

(iv) **Section – I** should be answered in the given question paper and **Section – II** should be answered in a separate answer book.

(v) Maximum time allotted for **Section – II** is 150 minutes.

(vi) Figures on the right indicate marks for each question.

SECTION – II

- Q.2** What are needs and significance of Accounting standards? Also explain AS-2 in detail. **10**
- OR**
- Q.2** Write a note on following: **10**
- (A) International Financial Reporting Standards
- (B) Accounting standard- 20
- Q.3** Punam Furniture Mart, Ahmedabad sent 40 steel cupboards costing Rs. 4000 each on consignment to Pawar Brothers of Bombay. The consignees were to be allowed a commission of 5 % on sales. They accepted a bill of Rs. 90000 at 3 Months as an advance the consignor discounted the bill immediately at 12% p.a. Punam Furniture Mart paid Rs.7000 for freight and Rs. 4000 for wages on sending the goods. Pawar Brothers paid Rs.10000 for custom duties wages etc. Pawar Brothers sent an account sale after 2 months, stating that 35 cupboards were sold at Rs.6000 each. In another account sales sent after a month, it was stated that the remaining 5 cupboards were sold at Rs. 5,500 each. The consignee sent a bank draft for the balance after deducting their commission. Give journal entries and prepare necessary accounts in the books of both the parties. **10**
- Q.4** Shefali and Hiten entered into Joint venture with a condition to share profit or losses in the proportion of 2/3 and 1/3 respectively. A joint bank account was opened by Shefali paying in Rs. 60,000 and Hiten Rs. 30,000. It was agreed between them that the joint bank Account is to be used for purchase and sale. While joint venture expenses should be paid by each partner out of his private fund. Each partner is to receive a commission at 5% on sales effected by him. Their transaction were as follows: **10**

	Particulars	Rs
1	Shefali Purchased Potatoes worth Rs. 50,000 Hiten purchased grapes worth Rs. 25,000.	
2	Shefali paid following expenses Advertisement Salesman's salary Administration Exp.	2,000 3,000 1,000
3	Hiten paid following expenses Wages Insurance Rent Octroi charges	600 300 200 400
4	Shefali sold 4/5 of potatoes for Rs. 60,000 While Hiten sold 4/5 of grapes for Rs. 30,000	
5	Goods costing Rs. 10,000 (Potatoes) and Rs. 5,000 (grapes) were taken over by Shefali and Hiten respectively. From the above details , prepare (1) Joint Venture Account (2) Joint Bank Account (3) The personal Accounts of partners.	

OR

Q.4 Distinguish between “FIFO” and “LIFO” methods of inventory with an appropriate example. **10**

Q.5 Distinguish between “straight line method” and “diminishing balance method” of providing depreciation with a practical illustration. **10**

Q.6 **Case Study / Case-let:** **15**

Following is the trial balance of an independent Branch as at 31st march, 2017

Trial Balance

Particular	Dr. (Rs.)	Cr.(Rs.)
Opening Stock	10,000	-
Purchase and Sales	12,800	83,600
Purchase return and Sales returns	2,800	3,600
Direct Expenses	4,000	-
Indirect Expenses	3,000	-
Misc. Expenses	400	-
Fixed Assets	15,000	-
Goods received from Head office and Head office's Account	50,000	22,800
Commission and Cash	2,500	500
Creditors and Debtors	20,000	10,000
	1,20,500	1,20,500

Adjustment: Closing stock amounted to Rs. 6,200. Prepare:

- (A) Trading A/c profit and Loss A/c for the year ending 31st March, 2017 and a balance sheet as at 31st march, 2017.
- (B) Give journal entries in the books of Head office for incorporating Branch Account.